

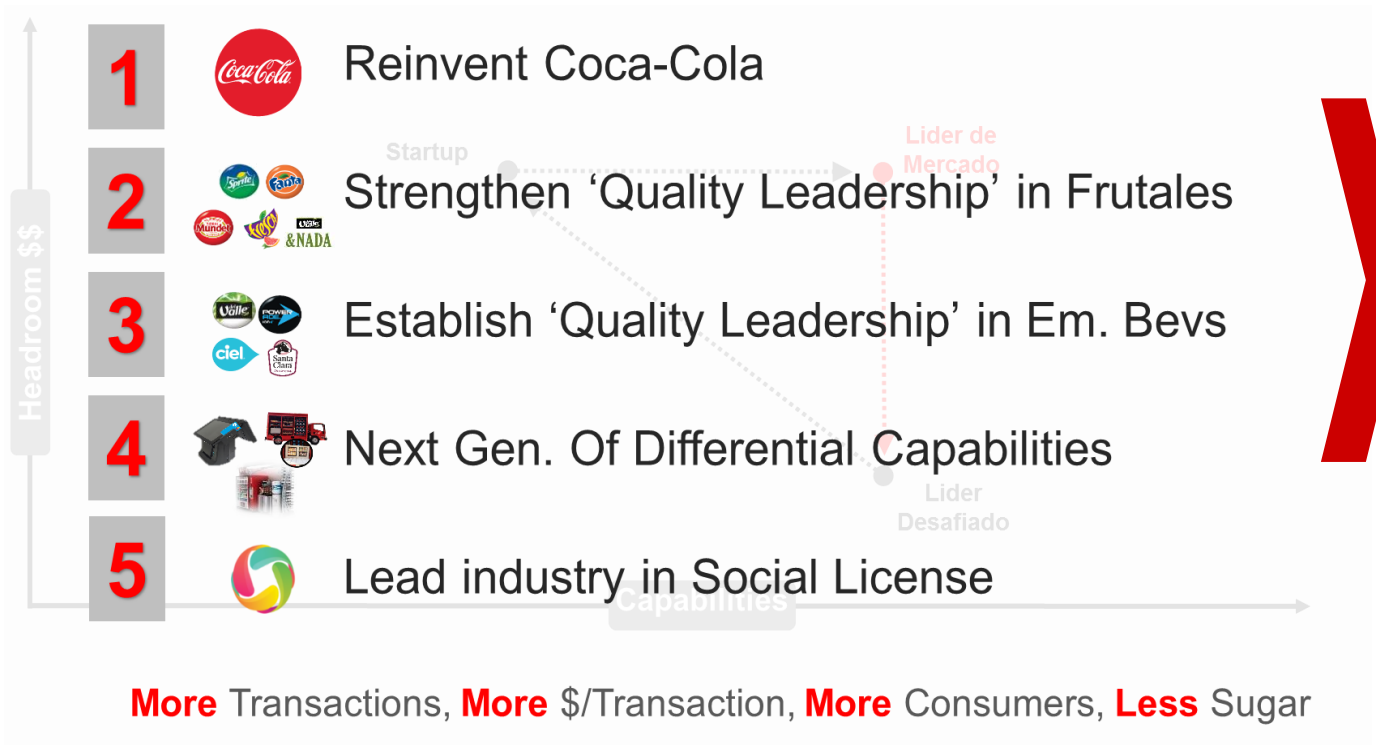
MEXICO BU ORGANIZATION FOR GROWTH UPDATE



FEBRUARY 2018

Strategy defines structure & resource allocation

MEXICO BU STRATEGIC PRIORITIES



IMPLICATIONS

- Operating Model has to support differentiated challenges and priorities of our categories
 - Leadership role in SSDs
 - Challenger role in water, 'stills'
 - Experimental role in dairy and other
- Enable development of next generation commercial capabilities
- Collaborative and Agile organization that speeds decision making and reaction time to business and competitor actions
- Organization to support Social License priority
- Best in class organization: lean and efficient organization with clear processes

Findings from the organizational assessment

- Understanding of **Mexico BU strategy** that may impact how to organize and assign our resources

- Understanding of current **decision making process, roles & responsibilities**
- **Assess main sources of process complexity** to identify effectiveness opportunities



- **Market dynamics** including:
 - Category trends
 - Competitive dynamics
 - Priority channels

- **Organization structure** and mapping and evaluation of spans and layers
- High-level **benchmarks** to identify gaps vs other BUs

A sense of pride ... but risk aversion, lack of empowerment, hierarchy and lack of trust



Sense of pride to belong to TCCC Mexico BU

- “We are all very **proud to belong** to TCCC Mexico BU”
- “We are **obsessed with winning** and we are willing to work hard and to put effort/hours as needed”
- “We are proud of our **success**, always **achieving results** thanks to our **outstanding commercial capabilities**”

Risk aversion and fear to fail

- “We’ve become a risk averse company, **nobody wants to propose ideas** because they fear that somebody will turn them down for little mistakes ”
- “**Other companies take risks** and assume possible failures, while **we take years** to launch a single initiative”
- “We need to learn to be quicker on innovation and **deal with occasional failure**”

Lack of empowerment to make decisions, approvals required

- “People has **no decision power**, decisions have to be **approved by VPs**, and not even then ideas are implemented”
- “Taking a decision (as simple as it can be) seems impossible, **there is always someone that has to give approval**”
- “Sometimes we need **150 slides** to tell an idea” “We use too many **meetings to make decisions**”

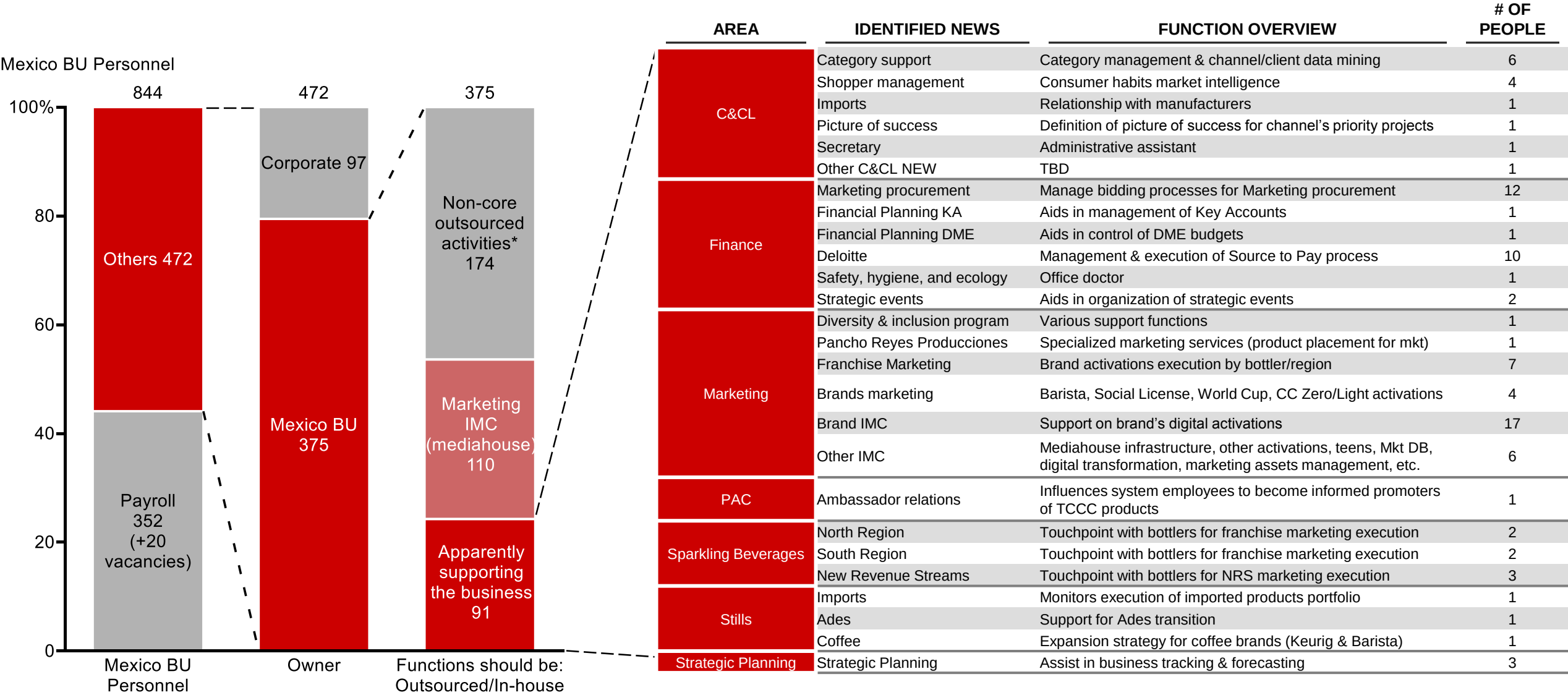
Hierarchy and political environment

- “It’s amazing how **politically correct** you need to be **to fit** into the company’s culture”
- “Our **culture is completely vertical**” “We have a **hierarchical** culture”
- “When somebody from the SLT asks a question, a lot of people moves towards providing an answer; most of the times it was just an opinion and **they didn’t expected an answer**”

Lack of trust among the organization

- “**No one trusts in other area’s work**; sometimes, not even in their own area peers”
- “Sometimes there are two people from two different areas working on the same topic, just because **there’s no trust that the other area will do it right**”
- “We haven’t understood that **the fight is not “in here” but “out there”**”

Mexico BU: 372 FTEs +~91 NEW/Contractor plus 110 Mediahouse/IMC plus 174 Outsourced positions supporting day to day business operations



Note: *= Includes auto shop, cafeteria, cleaning, gardening, gym, real estate maintenance, security, telecom., strategic events waiters, office services, insurance company implants, and laboratory equipment cleaning; Corporate includes Finance and R&D Lab shared services, IT, and Planta Vallejo; excludes 3 NEWs from quality lab as it will soon be closed; differs from HR perspective by excluding the following NEWs: PAC: 1 Communications, 1 CC Foundation, 1 Call Center, Legal: 1 NEW, Strategic Planning: 5 Nielsen NEWs

Source: TCCC HR Database

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We designed our new Operating Model to be Externally Focused to Win with Consumers, Customers (via Bottlers), Stakeholders and Talent

Organizational Areas

‘Sparkling’

Our Timeless Growth Engines
– Coke TM, Frutales, Waters

‘Stills’

Our Emerging and
Experimental Growth Engines

‘FL+CCL’

Our Partnerships to Delight
Consumers Everywhere

‘PAC’

Earn our Social License,
Everyday

‘HR’

Top Talent, Best Place to
Work

‘Finance’ - ‘SP&I’ - ‘Technical’ - ‘Legal’ - IT

Provide Services & Governance in Support of Front Line Organization

Design Principles

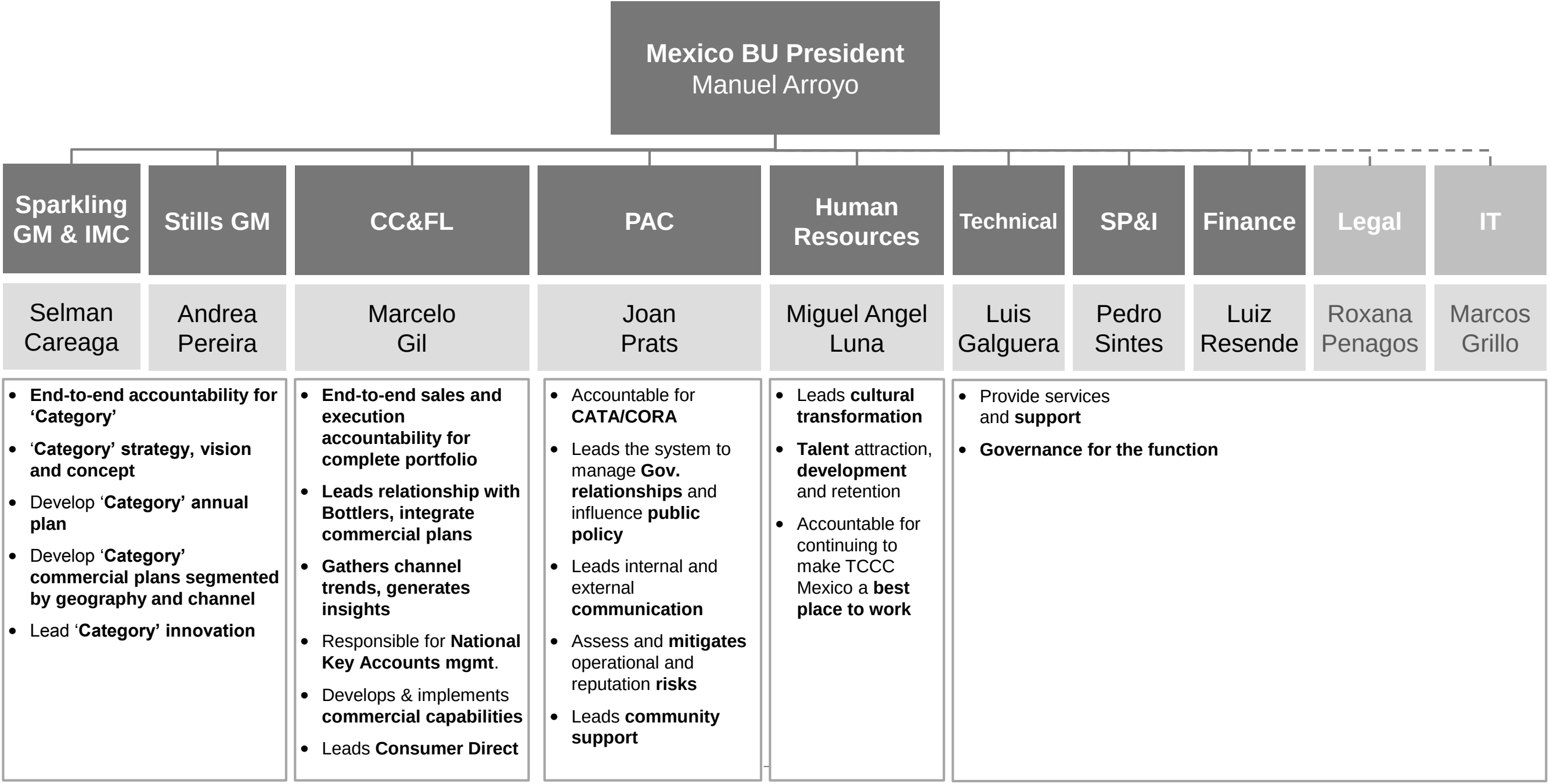
Effective organization

- **Teams with end-to-end accountability**
- **Clear roles and responsibilities**, with mechanisms to speed up decisions
 - Single decision makers at “the right level”
 - Promote cross-collaboration and trust
 - Enable multifunctional Teams, break hierarchies
- **Redesigned and simplified end-to-end processes**
- **Agile ways of working** to adapt quicker to market dynamics

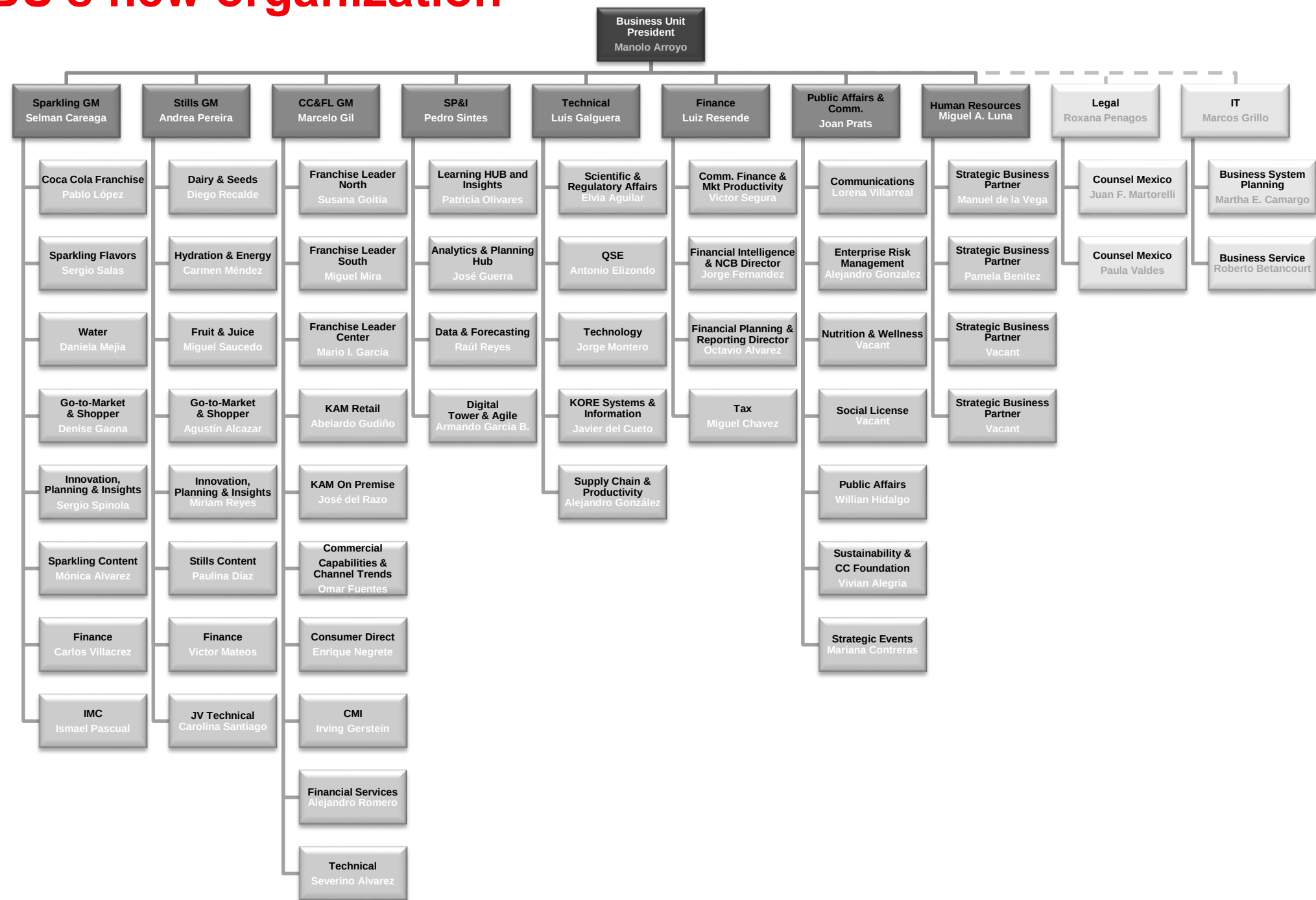
Lean organization

- Increase spans of control
- **Eliminate duplicative** activities
- Achieve organizational efficiencies

Mexico BU’s new organization with New Operating Model archetype



Mexico BU's new organization



Allocating our people according our new Operating Model

FUNCTIONS	BASE FTE		NET TRANSFERS REDUCTION		NEW HC	FINAL FTE		VARIANCE	
	#	%		%		#	%		
BU P	2	0.5%	5	(2)	3.2%	5	1.6%	1.0	pp
MKT SSDs	84	22.6%	-15	(14)	22.6%	2	57	17.9%	(4.7) pp
Stills	18	4.8%	34	(4)	6.5%	2	50	15.7%	10.9 pp
CC&L & FL	97	26.1%	10	(14)	22.6%		93	29.2%	3.2 pp
PAC	16	4.3%	2			3	21	6.6%	2.3 pp
HR	4	1.1%				2	6	1.9%	0.8 pp
Tecnico	51	13.7%	-14	(7)	11.3%		30	9.4%	(4.3) pp
Finanzas	64	17.2%	-12	(18)	29.0%	1	35	11.0%	(6.2) pp
Planning	36	9.7%	-12	(3)	4.8%		21	6.6%	(3.1) pp
Atlanta			2						
TOTAL	372	100%	-	(62)	100%	10	318	100%	-

Reorganización

- Cambios Significativos:
 - Salidas: 54 FTEs y 45 NEWs
 - +55 personas a nuevas posiciones
- Criterios de Selección
- Paquetes de Compensación
- Fechas
- Reflexion

Our Growth Behaviors

Curious

Keep seeking, never settle.

Staying curious about what is outside and two steps ahead inspires us to challenge the status quo. Having the courage to look and leap is the way we grow. Because asking “what if?” pushes us to the next level as people and as a company.

Empowered

Make it happen.

True empowerment is the result of taking responsibility. This means giving yourself permission to see it, say it and do it, and owning the outcomes. Because we move forward faster when we all take action.

V1.0, 2.0, 3.0

Push for progress, not perfection.

There are very few overnight successes. Greatness come from many little victories (and failures). Share v1.0, test it, and make it better. Then create the next version. Because the moment we think something is perfect, it will be obsolete.

Inclusive

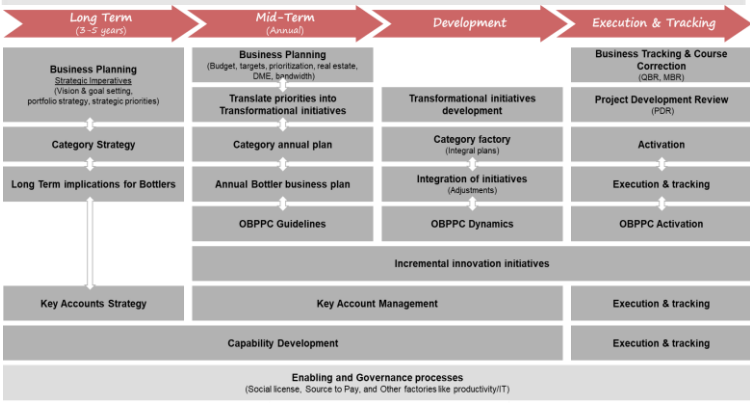
Include, value and trust each other.

We are smart alone but together we are genius. This means being inclusive, giving the benefit of the doubt and being responsible for each other. Because, for our company to thrive for the next 100+ years, smart isn't enough. We need genius.

Reorganizacion

•NUEVOS PROCESOS

- End-to-end business processes
- Claridad de Roles y Decisiones



CULTURA



- **CURIOUS:** Keep seeking, never settle.
- **EMPOWERED:** Make it happen.
- **V1.0, 2.0, 3.0:** Push for progress, not perfection.
- **INCLUSIVE:** Include, value and trust each other.

•BU PMO

• Julio López

